

HOUSE No. 2761

The Commonwealth of Massachusetts

PRESENTED BY:

Nicholas A. Boldyga

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to relative to the revolving door between regulatory agencies and regulated industry.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Nicholas A. Boldyga</i>	<i>3rd Hampden</i>	<i>1/17/2025</i>

HOUSE No. 2761

By Representative Boldyga of Southwick, a petition (accompanied by bill, House, No. 2761) of Nicholas A. Boldyga for legislation to regulate the employment of former employees of certain regulatory agencies. Public Service.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to relative to the revolving door between regulatory agencies and regulated industry.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Section 1. Definitions

2 As used in this act, the following words shall have the following meanings unless the
3 context clearly requires otherwise:

4 (a) "Regulatory Agency" means any department, commission, board, council, authority,
5 or other agency of the Commonwealth of Massachusetts that has regulatory, licensing, or
6 oversight responsibilities over any industry, business, or profession.

7 (b) "Regulated Industry" means any business, corporation, or entity subject to regulation,
8 oversight, or licensing by a regulatory agency of the Commonwealth.

9 (c) "Cooling-Off Period" means the period during which a former employee of a
10 regulatory agency is prohibited from employment, consulting, or engaging in any contractual
11 relationship with a regulated industry or any of its affiliates.

Section 2. Cooling-Off Period

(a) A former employee of any regulatory agency in the Commonwealth of Massachusetts shall be prohibited from:

(1) Accepting employment with,

(2) Becoming a consultant for,

(3) Providing services to, or

(4) Entering into any contractual agreement with

any entity within a regulated industry that was under the oversight, regulation, or licensing of the agency where the individual was employed for a period of five (5) years after the termination of their state employment.

(b) This prohibition extends to any subsidiary, parent company, or affiliate of the regulated entity where a direct or indirect influence over regulatory matters could be perceived.

Section 3. Exceptions

Exceptions to the cooling-off period may be granted by the State Ethics Commission only under the following conditions:

(a) The employment or contract does not involve matters directly related to the duties or responsibilities of the regulatory agency the individual previously served in.

(b) The individual can demonstrate that the proposed employment or contract would not result in any conflict of interest, undue influence, or appearance of impropriety.

Such exceptions shall require a written application and approval by the State Ethics Commission.

Section 4. Enforcement

(a) The State Ethics Commission shall have the authority to investigate violations of this act, impose fines, and seek remedies including but not limited to:

(1) Civil penalties not to exceed \$50,000 for each violation.

(2) Injunctions to prevent employment or contracts in violation of this act.

(3) Mandatory divestiture of any financial benefit gained through violation of this act.

(b) Any employment or contract entered into in violation of this act shall be voidable at the option of the Commonwealth.

Section 5. Reporting Requirement

All regulatory agencies must submit an annual report to the State Ethics Commission detailing:

(a) The names and positions of employees who have left the agency within the last year.

(b) The names of any regulated entities where these former employees have sought or accepted employment or contracts within the five-year cooling-off period.